T-12 OPERATING STATEMENT

Falcon Plaza | Columbus, OH

Property	Falcon Plaza
Period Ending	May 4, 2026
Basis	Accrual - Trailing 12 Months
Prepared By	Orion Commercial Management
Size	27,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	63,256	66,669	59,378	66,238	64,915	66,957	66,719	60,450	59,102	63,271	59,347	61,184	757,485
4010 Loss to Lease	14,343	14,782	15,143	16,173	14,611	15,502	15,132	16,159	14,364	15,102	15,945	16,000	183,257
4020 Vacancy Loss	29,266	26,377	28,570	29,538	27,022	26,407	26,481	28,583	28,421	28,251	28,565	29,342	336,823
4030 Concessions	23,375	20,806	21,433	23,206	23,329	21,560	21,176	22,900	20,820	21,890	22,010	20,925	263,430
4040 Bad Debt	29,606	29,579	32,469	32,346	30,451	29,780	32,216	32,652	30,592	33,284	33,142	32,537	378,655
4050 Late Fees	34,856	34,921	36,285	35,741	33,787	35,607	32,009	31,864	35,664	35,096	34,457	36,038	416,326
4060 Utility Reimbursements	41,550	40,744	41,155	40,438	40,325	40,763	41,459	43,620	42,216	39,599	40,836	40,941	493,646
4070 Parking Income	59,793	58,482	55,513	53,485	54,143	54,392	56,650	57,732	56,990	54,148	54,694	57,895	673,917
4080 Application Fees	49,849	45,306	44,576	49,508	50,529	46,308	44,341	48,032	45,433	45,136	47,766	47,411	564,195
4090 Pet Rent	14,682	15,622	14,752	15,558	15,462	14,729	15,463	15,310	14,480	14,740	14,585	15,835	181,219
4100 Laundry Income	55,160	53,161	52,968	55,498	49,817	53,563	49,558	49,394	49,792	49,664	54,668	50,487	623,729
4110 Cable/Internet Revenue	44,518	48,604	44,016	43,222	46,714	43,678	47,198	45,015	43,280	48,731	45,384	45,826	546,186
4120 CAM Reimbursements	42,729	46,608	43,386	47,043	46,354	45,926	42,057	44,689	44,056	43,752	42,434	43,742	532,774
4130 Tax Reimbursements	22,668	20,713	20,517	22,090	21,775	20,080	21,334	21,558	21,261	20,923	21,179	22,593	256,690
4140 Insurance Reimbursemen	33,034	33,175	33,290	30,123	33,113	31,661	31,443	30,620	33,759	34,295	32,658	31,295	388,469
4150 Percentage Rent	25,108	27,161	26,100	27,740	25,178	26,695	25,211	27,397	25,863	26,787	25,085	28,510	316,835
4160 Misc. Income	33,059	33,519	33,094	34,457	30,579	33,379	31,387	31,847	31,664	32,403	31,420	32,638	389,446
4170 Payroll - Management	2,404	2,409	2,317	2,403	2,241	2,269	2,238	2,494	2,290	2,372	2,470	2,296	28,204
4180 Payroll - Leasing	3,596	3,964	3,838	3,592	3,955	3,612	3,888	3,585	3,682	3,493	3,705	3,790	44,699
4190 Payroll - Maintenance	855	939	945	870	946	897	915	866	865	905	905	884	10,790
4200 Payroll Taxes & Benefits	4,169	3,946	3,969	4,010	3,878	4,224	3,987	4,281	4,373	4,244	4,333	4,042	49,456
4210 Repairs - Plumbing	5,553	5,916	6,226	5,551	5,895	6,202	5,742	5,755	6,189	5,583	6,084	5,420	70,117
4220 Repairs - HVAC	2,602	2,534	2,673	2,466	2,739	2,678	2,405	2,553	2,633	2,551	2,649	2,418	30,902
4230 Repairs - Electrical	1,335	1,237	1,345	1,270	1,338	1,306	1,416	1,251	1,394	1,300	1,308	1,258	15,758
4240 Repairs - Appliances	2,375	2,458	2,462	2,536	2,447	2,434	2,523	2,549	2,540	2,669	2,373	2,716	30,081
4250 Painting & Decorating	5,538	5,812	5,551	5,442	5,897	6,049	6,175	6,070	5,879	5,977	5,616	5,976	69,982
4260 Flooring	2,130	2,090	2,345	2,102	2,093	2,285	2,309	2,284	2,149	2,373	2,259	2,204	26,624

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	1,512	1,542	1,583	1,516	1,508	1,488	1,593	1,546	1,498	1,506	1,619	1,611	18,523
4460 Management Fee	7,231	6,786	6,868	6,490	6,500	6,661	6,926	6,906	6,616	6,978	6,977	6,440	81,380
4470 Property Insurance	6,677	6,500	6,993	6,859	6,792	6,506	6,424	7,186	6,649	6,390	6,386	6,516	79,877
4480 Real Estate Taxes	6,202	6,052	6,479	6,667	6,927	6,376	6,648	6,306	6,506	6,371	6,352	6,761	77,647
4490 Asset Management Fee	3,589	3,533	3,997	3,613	4,010	3,912	3,936	3,967	3,917	4,051	4,011	3,821	46,358
4500 Replacement Reserves	5,858	5,648	5,723	5,920	5,670	6,002	5,999	6,042	5,999	5,957	6,141	5,672	70,631
4510 Roof Repairs	6,149	5,853	5,996	5,817	6,073	5,560	5,695	5,484	5,874	5,880	5,694	6,185	70,260
4520 Parking Lot Repairs	1,523	1,598	1,463	1,615	1,556	1,629	1,533	1,442	1,533	1,451	1,540	1,535	18,418
4530 Signage	1,309	1,296	1,180	1,157	1,159	1,176	1,191	1,268	1,235	1,275	1,229	1,264	14,739
4540 Tenant Improvements	1,182	1,167	1,137	1,147	1,189	1,056	1,081	1,080	1,046	1,159	1,133	1,060	13,436
4550 Leasing Commissions	1,400	1,503	1,340	1,404	1,345	1,368	1,361	1,477	1,441	1,404	1,344	1,452	16,838
4000 Gross Potential Rent	60,009	67,036	64,857	65,929	59,969	60,171	59,070	61,382	63,267	59,034	66,300	64,650	751,673
4010 Loss to Lease	26,650	26,254	24,162	26,929	27,249	27,106	24,261	25,534	25,407	24,547	24,441	27,282	309,823
4020 Vacancy Loss	40,186	43,568	38,639	38,440	40,547	44,060	38,543	38,729	42,409	44,116	38,765	38,598	486,599
4030 Concessions	55,040	51,493	52,215	55,925	57,544	56,172	55,287	54,359	55,056	51,285	54,648	58,131	657,155
4040 Bad Debt	50,135	45,413	50,884	50,087	50,732	51,570	46,500	45,241	49,688	48,908	45,842	45,553	580,554
4050 Late Fees	33,120	33,160	34,209	34,957	32,300	34,937	34,434	31,699	34,835	33,114	33,523	34,088	404,376
4060 Utility Reimbursements	52,987	53,513	48,592	50,160	51,723	53,459	48,343	50,580	53,430	52,502	52,077	51,359	618,724
4070 Parking Income	23,227	23,618	23,240	23,218	24,904	23,754	23,159	22,707	24,308	23,926	23,970	22,755	282,787
4080 Application Fees	44,824	48,749	46,635	45,832	43,742	44,923	47,218	46,399	46,279	48,832	43,760	47,037	554,229
4090 Pet Rent	19,858	20,252	19,620	19,967	19,014	20,357	18,731	20,252	19,877	17,853	19,618	20,277	235,676
4100 Laundry Income	55,122	54,127	57,549	58,964	53,544	53,310	56,962	58,586	58,230	56,194	54,067	57,988	674,642
4110 Cable/Internet Revenue	8,824	9,171	9,650	8,517	8,677	8,492	8,402	9,218	9,332	9,072	9,422	9,050	107,826
4120 CAM Reimbursements	11,875	12,256	11,999	11,241	11,956	11,270	11,642	11,145	11,617	12,378	11,199	11,989	140,567
4130 Tax Reimbursements	3,549	4,038	4,032	3,686	3,973	3,994	3,586	3,838	3,765	3,698	4,029	3,937	46,125
4140 Insurance Reimbursemen	47,056	44,664	44,678	44,224	47,095	45,890	47,762	46,636	43,370	41,982	42,475	42,599	538,431
4150 Percentage Rent	2,607	2,527	2,580	2,540	2,632	2,446	2,615	2,630	2,559	2,562	2,403	2,623	30,723
4160 Misc. Income	46,891	48,389	49,313	45,339	47,030	49,005	44,243	44,098	46,314	43,613	47,820	48,732	560,787
4170 Payroll - Management	1,732	1,579	1,641	1,679	1,646	1,627	1,766	1,726	1,666	1,681	1,631	1,621	19,996
4180 Payroll - Leasing	2,828	2,767	2,741	2,600	2,792	2,515	2,748	2,712	2,517	2,701	2,790	2,687	32,399
4190 Payroll - Maintenance	3,173	3,317	3,007	3,068	3,129	3,016	2,908	3,316	3,041	3,012	3,207	3,214	37,408
4200 Payroll Taxes & Benefits	5,626	6,130	6,226	6,084	6,321	6,089	5,655	5,822	5,634	6,251	5,653	6,253	71,743
4210 Repairs - Plumbing	2,214	2,063	2,116	1,983	2,034	2,047	2,221	1,969	1,995	1,970	2,192	2,161	24,965
4220 Repairs - HVAC	7,010	6,365	6,316	6,881	6,707	7,100	6,891	6,249	6,242	7,008	7,093	6,832	80,693
4230 Repairs - Electrical	5,512	5,575	5,753	5,462	5,415	5,806	5,864	5,175	5,518	5,334	5,211	5,231	65,857
4240 Repairs - Appliances	748	748	760	809	761	748	732	788	755	777	744	805	9,175
4250 Painting & Decorating	1,130	1,148	1,270	1,250	1,258	1,128	1,209	1,174	1,280	1,154	1,114	1,133	14,247
4260 Flooring	4,560	4,642	4,441	4,587	4,631	4,537	4,604	4,352	4,774	4,927	4,641	4,413	55,108
4270 Make-Ready / Turnover	2,530	2,729	2,695	2,589	2,723	2,463	2,466	2,683	2,719	2,391	2,690	2,495	31,172
4280 Landscaping Contract	1,004	1,108	1,027	1,026	1,055	1,073	1,050	1,122	1,002	1,126	1,014	1,049	12,657
4290 Snow Removal	2,718	2,837	2,748	2,781	2,858	2,936	2,660	2,841	2,811	2,916	2,948	2,726	33,781
4300 Janitorial	5,274	5,699	5,364	5,360	5,476	5,506	5,548	6,021	5,633	5,525	5,656	6,003	67,065
4310 Pest Control	1,723	1,866	1,735	1,705	1,816	1,910	1,865	1,674	1,782	1,864	1,887	1,861	21,688
4320 Trash Removal	6,046	6,652	6,294	6,133	6,060	6,145	5,944	6,281	5,985	6,498	6,398	6,315	74,752
4330 Elevator Contract	1,328	1,350	1,425	1,332	1,386	1,324	1,301	1,382	1,386	1,421	1,314	1,290	16,238

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Operating Performance

Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $142,000, representing a 4.6% increase over the prior year. Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 46 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.86x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts.

Leasing and Marketing

Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. The building features a renovated lobby, structured parking at a ratio of 13 per 1,000 square feet, and a tenant lounge with fitness center. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Weighted average lease term remaining is 7 years and in-place rents average $35 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 14 hours.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 4 years and in-place rents average $35 per square foot, full service gross. The going-in capitalization rate of 7.38% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $63,000, representing a 7.2% increase over the prior year.

Operating expenses totaled $222,000 or approximately 29.86 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.89x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 6.64% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Weighted average lease term remaining is 5 years and in-place rents average $35 per square foot, full service gross. Collections for the period were 88.2% of billed charges, with bad debt of 5.5% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 42 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Operating expenses totaled $12,000 or approximately 36.99 per square foot, with real estate taxes representing the largest line item.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4360 Electricity - Common	2,155	2,264	2,099	2,153	2,285	2,181	2,301	2,244	2,283	2,351	2,290	2,238	26,845
4370 Gas - Common	1,129	1,106	1,062	1,103	1,115	1,104	1,107	1,154	1,042	1,044	1,100	1,052	13,118
4380 Water & Sewer	5,850	5,785	5,438	5,588	6,056	5,863	5,634	5,813	6,030	5,407	5,616	5,705	68,785
4390 Telephone/Internet	1,267	1,322	1,266	1,371	1,348	1,283	1,267	1,369	1,340	1,248	1,375	1,340	15,794
4400 Advertising	4,775	4,723	4,386	4,926	5,016	4,820	4,431	4,684	4,732	4,459	4,513	4,850	56,316
4410 Resident Events	2,849	2,623	2,565	2,807	2,648	2,838	2,629	2,756	2,580	2,840	2,718	2,729	32,582
4420 Office Supplies	1,985	2,046	1,965	1,926	1,880	1,977	2,039	1,927	1,990	2,050	2,112	1,904	23,800
4430 Legal & Professional	2,867	2,780	3,073	2,952	2,757	3,041	2,832	2,951	2,871	3,034	2,803	2,761	34,721
4440 Accounting & Audit	7,769	7,520	7,562	7,736	7,331	7,269	7,922	7,176	6,934	7,470	7,727	7,689	90,107
4450 Licenses & Permits	2,509	2,624	2,449	2,516	2,443	2,658	2,683	2,423	2,499	2,388	2,422	2,550	30,166
4460 Management Fee	6,521	6,555	6,522	6,022	6,363	6,576	6,071	6,702	6,342	6,473	6,451	6,108	76,705
4470 Property Insurance	2,215	2,272	2,243	2,280	2,284	2,368	2,366	2,418	2,181	2,249	2,160	2,241	27,276
4480 Real Estate Taxes	7,271	6,769	6,649	7,251	6,502	6,400	6,688	6,440	6,894	6,502	7,264	7,129	81,759
4490 Asset Management Fee	4,867	4,581	4,766	4,834	4,490	4,767	4,811	4,674	4,574	4,712	4,934	4,678	56,689
4500 Replacement Reserves	2,728	2,893	2,978	2,626	2,751	2,771	2,883	2,599	2,722	2,651	2,787	2,881	33,271
4510 Roof Repairs	788	720	810	716	724	789	739	718	734	773	809	789	9,108
4520 Parking Lot Repairs	2,739	2,683	2,698	3,006	2,682	2,894	2,922	3,010	2,850	2,805	2,665	2,732	33,685
4530 Signage	832	780	769	848	815	857	824	764	785	835	839	847	9,795
4540 Tenant Improvements	6,890	6,788	6,841	6,134	6,778	6,061	6,367	6,119	6,067	6,274	6,846	6,283	77,449
4550 Leasing Commissions	3,759	4,158	4,179	3,883	4,105	3,945	3,789	3,807	4,075	3,797	3,819	3,855	47,170
4000 Gross Potential Rent	61,093	59,997	67,173	62,688	64,824	59,187	66,983	59,856	64,948	64,903	64,772	61,705	758,130
4010 Loss to Lease	51,259	55,648	57,408	50,724	53,451	54,433	56,027	52,836	57,730	55,222	53,880	53,555	652,172
4020 Vacancy Loss	54,250	59,139	57,738	57,912	55,846	52,181	52,446	52,617	58,251	52,324	56,741	56,096	665,541
4030 Concessions	17,817	19,216	18,254	18,408	17,624	17,755	17,271	16,998	17,584	18,618	18,826	17,925	216,295
4040 Bad Debt	17,016	16,633	17,834	17,240	16,307	17,042	17,902	16,133	16,870	16,381	17,756	17,108	204,222
4050 Late Fees	5,883	6,329	6,368	6,135	5,681	6,414	5,816	6,373	5,864	5,604	6,034	5,693	72,195
4060 Utility Reimbursements	51,061	55,336	56,901	55,321	53,445	55,429	52,632	51,959	55,702	56,795	51,925	51,033	647,538
4070 Parking Income	7,212	7,337	7,066	7,616	7,176	6,934	6,688	7,565	6,694	7,405	7,272	6,921	85,885
4080 Application Fees	56,434	51,169	50,687	53,106	56,374	51,732	52,794	51,296	54,105	53,699	57,390	54,948	643,735
4090 Pet Rent	16,275	15,800	14,764	16,207	16,116	15,917	14,333	14,657	15,743	15,005	14,347	15,679	184,844
4100 Laundry Income	40,473	42,086	43,362	41,760	41,399	41,269	39,463	42,779	39,350	42,485	40,369	38,357	493,151
4110 Cable/Internet Revenue	16,805	16,918	16,266	16,194	16,412	15,969	16,184	16,076	15,629	17,352	15,526	17,293	196,623
4120 CAM Reimbursements	30,519	33,711	29,956	31,900	33,296	33,837	30,629	31,447	34,169	31,640	33,266	30,934	385,304
4130 Tax Reimbursements	3,705	3,864	3,571	3,540	3,937	4,000	3,854	3,524	3,595	3,591	3,596	4,019	44,796
4140 Insurance Reimbursemen	10,676	10,043	10,647	10,415	10,206	9,726	9,720	10,116	10,586	10,798	10,510	10,332	123,775
4150 Percentage Rent	45,979	43,454	47,598	44,474	44,938	42,132	44,675	46,716	44,493	43,219	41,974	43,381	533,031
4160 Misc. Income	5,016	5,012	4,597	4,747	5,044	5,187	5,210	4,918	4,884	5,169	4,747	5,127	59,659
4170 Payroll - Management	7,749	7,779	7,328	6,936	7,608	7,723	7,258	7,754	6,872	7,082	7,663	7,383	89,134
4180 Payroll - Leasing	2,434	2,415	2,534	2,671	2,679	2,644	2,584	2,477	2,551	2,688	2,739	2,516	30,933
4190 Payroll - Maintenance	2,658	2,979	2,793	2,728	2,966	2,687	2,933	2,968	3,045	2,946	2,918	2,777	34,399
4200 Payroll Taxes & Benefits	4,003	3,926	4,131	4,174	3,993	4,326	4,228	4,131	4,353	4,010	4,094	4,274	49,644
4210 Repairs - Plumbing	5,950	5,741	5,531	5,684	5,323	5,507	5,329	5,948	5,563	5,408	5,452	5,339	66,774
4220 Repairs - HVAC	3,282	3,604	3,370	3,602	3,462	3,619	3,604	3,458	3,675	3,297	3,360	3,372	41,704
4230 Repairs - Electrical	847	803	819	832	797	824	827	869	811	869	797	805	9,898
4240 Repairs - Appliances	6,452	6,555	6,180	6,894	6,732	6,166	6,705	6,820	6,930	6,755	6,623	6,198	79,011
4250 Painting & Decorating	5,297	5,166	5,532	5,661	5,280	5,804	5,710	5,217	5,572	5,667	5,494	5,526	65,924

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Financial Analysis

Operating expenses totaled $308,000 or approximately 31.48 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts.

The going-in capitalization rate of 7.84% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $394,000, representing a 10.9% increase over the prior year. Debt service coverage ratio was 5.87x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $202,000 or approximately 24.81 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 30 hours. Collections for the period were 94.5% of billed charges, with bad debt of 4.4% of gross potential income. Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Collections for the period were 89.8% of billed charges, with bad debt of 6.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 6 years and in-place rents average $35 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. The going-in capitalization rate of 5.58% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.15x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The building features a renovated lobby, structured parking at a ratio of 29 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. Collections for the period were 96.7% of billed charges, with bad debt of 4.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 17 hours.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 10 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 9 years and in-place rents average $35 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4260 Flooring	814	757	755	784	800	793	806	763	794	794	793	770	9,424
4270 Make-Ready / Turnover	3,276	3,158	3,358	3,325	3,438	3,523	3,472	3,503	3,284	3,298	3,569	3,557	40,761
4280 Landscaping Contract	1,156	1,070	1,095	1,072	1,101	1,169	1,089	1,147	1,157	1,218	1,107	1,222	13,603
4290 Snow Removal	6,057	6,391	5,744	5,966	6,115	6,380	6,263	6,271	6,035	5,805	5,965	6,392	73,383
4300 Janitorial	6,570	6,624	6,729	6,446	6,362	6,827	6,348	6,794	7,045	6,747	6,770	6,438	79,700
4310 Pest Control	3,987	3,767	3,477	3,527	3,772	3,470	3,824	3,793	3,615	3,878	3,986	3,718	44,813
4320 Trash Removal	2,720	2,598	2,606	2,700	2,424	2,586	2,443	2,543	2,504	2,494	2,681	2,476	30,775
4330 Elevator Contract	7,331	7,111	7,391	7,035	7,276	7,711	7,381	7,466	6,966	7,514	7,114	6,947	87,244
4340 Fire & Life Safety	4,247	4,111	4,200	3,965	4,177	4,105	3,866	4,345	4,064	3,918	3,894	4,134	49,026
4350 Security	1,529	1,372	1,504	1,395	1,498	1,567	1,377	1,499	1,521	1,439	1,407	1,435	17,542
4360 Electricity - Common	1,164	1,116	1,138	1,070	1,140	1,160	1,093	1,201	1,132	1,200	1,098	1,057	13,567
4370 Gas - Common	5,157	4,810	5,117	4,926	5,048	4,770	5,079	4,970	5,117	5,121	5,274	5,310	60,700
4380 Water & Sewer	1,413	1,397	1,421	1,363	1,387	1,469	1,451	1,437	1,396	1,443	1,395	1,369	16,942
4390 Telephone/Internet	3,044	2,937	2,836	2,824	2,862	2,846	2,680	2,981	2,946	2,827	2,685	2,775	34,247
4400 Advertising	3,092	3,230	2,965	3,002	2,987	2,958	3,239	3,038	3,275	2,970	3,171	3,218	37,144
4410 Resident Events	1,984	2,117	2,078	2,042	2,063	2,033	1,901	2,005	2,024	1,873	1,956	2,022	24,097
4420 Office Supplies	4,258	4,690	4,373	4,751	4,699	4,737	4,853	4,312	4,523	4,359	4,319	4,529	54,403
4430 Legal & Professional	1,178	1,272	1,256	1,143	1,209	1,240	1,206	1,293	1,184	1,176	1,205	1,280	14,643
4440 Accounting & Audit	4,339	4,400	4,553	4,241	4,004	4,081	4,250	4,531	4,266	4,102	4,221	4,497	51,486
4450 Licenses & Permits	4,061	3,974	4,060	4,041	3,722	3,861	3,911	3,614	4,057	3,947	3,739	3,620	46,609
4460 Management Fee	7,469	7,469	7,608	7,021	6,912	6,786	7,475	7,541	7,259	6,635	6,847	6,775	85,797
4470 Property Insurance	5,448	5,384	5,467	5,141	5,068	5,455	5,054	5,221	5,244	5,053	5,302	4,996	62,833
4480 Real Estate Taxes	5,175	5,020	5,307	4,939	5,097	5,497	5,190	5,326	5,165	5,358	5,499	5,087	62,660
4490 Asset Management Fee	5,672	5,675	5,664	5,878	6,105	6,012	6,220	5,794	5,673	5,624	6,016	6,051	70,385
4500 Replacement Reserves	3,229	3,136	2,943	2,976	3,245	3,312	3,295	3,061	3,156	3,089	3,016	3,109	37,566
4510 Roof Repairs	8,044	7,171	7,398	7,218	7,658	7,913	7,679	7,491	7,632	7,096	7,373	7,302	89,975
4520 Parking Lot Repairs	4,275	4,663	4,356	4,250	4,314	4,648	4,544	4,564	4,396	4,432	4,447	4,771	53,661
4530 Signage	5,672	6,046	5,926	5,553	6,144	5,588	6,220	5,794	5,916	5,567	5,776	5,657	69,859
4540 Tenant Improvements	1,062	1,055	969	992	1,061	1,074	1,091	1,064	1,025	1,004	1,078	1,030	12,505
4550 Leasing Commissions	2,706	2,745	2,729	2,847	2,883	2,855	2,892	2,919	2,824	2,748	2,928	3,051	34,127
4000 Gross Potential Rent	61,573	64,971	60,204	67,286	61,693	64,980	67,379	65,794	66,344	64,607	64,599	59,184	768,616
4010 Loss to Lease	37,278	38,772	37,704	37,388	39,441	39,436	36,840	39,555	35,622	36,128	40,034	38,842	457,040
4020 Vacancy Loss	12,705	12,402	12,469	12,196	13,164	13,808	13,049	13,041	13,141	13,131	13,414	13,468	155,988
4030 Concessions	35,706	33,379	35,770	32,504	32,715	35,690	33,623	31,646	31,836	32,543	32,868	34,541	402,821
4040 Bad Debt	34,979	32,576	32,842	34,946	35,849	33,780	34,403	35,489	35,944	32,303	33,196	36,012	412,317
4050 Late Fees	50,232	45,896	45,396	48,892	45,517	49,616	46,680	46,015	49,975	49,530	47,493	48,939	574,180
4060 Utility Reimbursements	33,985	35,008	33,814	36,067	32,414	32,013	32,476	32,510	34,202	32,193	36,263	34,940	405,885
4070 Parking Income	25,303	25,622	22,988	23,281	23,415	23,778	24,846	22,803	24,103	22,809	24,573	25,070	288,591
4080 Application Fees	32,094	30,063	29,916	29,349	29,042	30,713	31,815	29,041	30,142	28,718	30,558	30,137	361,589
4090 Pet Rent	3,135	2,849	3,068	2,921	2,743	2,754	3,023	2,857	2,747	2,980	2,744	3,151	34,971
4100 Laundry Income	54,116	52,259	51,013	55,613	50,784	55,863	53,830	56,818	55,433	52,073	50,261	53,430	641,494
4110 Cable/Internet Revenue	33,667	32,740	32,586	29,906	30,466	32,581	33,904	29,793	33,201	30,195	29,955	33,229	382,221
4120 CAM Reimbursements	26,297	27,137	26,135	27,940	25,715	28,258	26,894	26,745	27,512	26,859	29,045	25,866	324,405
4130 Tax Reimbursements	23,151	22,614	25,513	23,245	22,349	24,851	23,142	24,435	25,488	25,092	25,233	24,159	289,273
4140 Insurance Reimbursemen	6,630	6,527	7,052	6,728	6,460	7,106	6,740	6,685	6,391	6,965	7,124	6,916	81,325
4150 Percentage Rent	7,688	8,317	7,993	7,452	8,166	8,222	8,189	8,262	7,873	7,996	8,454	8,432	97,043

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $359,000 or approximately 36.86 per square foot, with real estate taxes representing the largest line item.

The building features a renovated lobby, structured parking at a ratio of 28 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 9 years and in-place rents average $35 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Effective gross income for the trailing period was $333,000, representing a 13.6% increase over the prior year.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Collections for the period were 94.5% of billed charges, with bad debt of 4.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.73x on a trailing basis against a covenant minimum of 1.20x.

Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 22 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 7.23x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $184,000 or approximately 31.10 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.32% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Weighted average lease term remaining is 5 years and in-place rents average $35 per square foot, full service gross. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Service requests are tracked through a work-order system with an average completion time of 27 hours.

Weighted average lease term remaining is 8 years and in-place rents average $35 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 32 per 1,000 square feet, and a tenant lounge with fitness center. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members.

Operating Performance

The going-in capitalization rate of 7.25% reflects the in-place income and the stabilized occupancy assumption. Weighted average lease term remaining is 9 years and in-place rents average $35 per square foot, full service gross. Effective gross income for the trailing period was $59,000, representing a 10.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4120 CAM Reimbursements	30,133	32,909	32,069	30,159	30,119	33,594	33,858	32,942	31,437	32,457	34,148	31,320	385,145
4130 Tax Reimbursements	51,893	54,393	55,729	55,009	51,187	53,796	54,193	53,717	50,371	55,260	55,264	56,157	646,968
4140 Insurance Reimbursemen	39,984	41,277	38,019	39,635	38,594	37,076	37,529	36,614	40,448	39,395	37,273	37,843	463,687
4150 Percentage Rent	9,963	10,385	10,918	9,948	11,037	10,426	10,594	10,472	9,961	10,379	10,872	11,347	126,300
4160 Misc. Income	56,179	56,780	56,055	55,453	57,923	54,569	53,922	54,867	59,086	52,031	55,790	54,689	667,344
4170 Payroll - Management	2,331	2,295	2,231	2,352	2,295	2,341	2,371	2,470	2,347	2,232	2,350	2,483	28,098
4180 Payroll - Leasing	5,028	5,282	5,011	5,141	4,841	5,015	5,266	4,938	4,872	5,206	5,035	5,242	60,875
4190 Payroll - Maintenance	4,460	4,542	4,712	4,405	4,407	4,473	4,785	4,806	4,522	4,737	4,537	4,214	54,599
4200 Payroll Taxes & Benefits	5,523	5,782	5,550	5,350	5,554	5,524	5,524	5,741	5,433	5,717	5,264	5,988	66,950
4210 Repairs - Plumbing	1,599	1,617	1,705	1,605	1,806	1,705	1,692	1,821	1,715	1,658	1,759	1,805	20,486
4220 Repairs - HVAC	2,282	2,084	2,258	2,222	2,098	2,258	2,312	2,116	2,334	2,082	2,080	2,079	26,204
4230 Repairs - Electrical	3,601	3,590	3,220	3,307	3,615	3,493	3,413	3,480	3,526	3,516	3,193	3,229	41,182
4240 Repairs - Appliances	6,143	5,870	5,584	5,389	6,035	5,519	5,786	5,884	5,917	5,362	5,443	6,096	69,027
4250 Painting & Decorating	1,583	1,655	1,642	1,770	1,698	1,781	1,702	1,730	1,709	1,587	1,692	1,682	20,231
4260 Flooring	3,938	4,378	4,339	4,187	4,078	4,417	4,243	3,880	3,987	3,886	3,975	4,371	49,677
4270 Make-Ready / Turnover	2,459	2,600	2,628	2,772	2,658	2,537	2,565	2,812	2,641	2,501	2,666	2,626	31,464
4280 Landscaping Contract	3,175	3,168	3,161	3,029	2,964	3,081	3,088	2,873	3,062	3,261	3,220	2,915	36,994
4290 Snow Removal	4,226	4,388	4,195	4,297	4,610	4,488	4,197	4,015	4,297	4,492	4,508	4,220	51,933
4300 Janitorial	4,354	4,560	4,393	4,359	4,485	4,222	4,554	4,182	4,425	4,280	3,988	4,342	52,144
4310 Pest Control	6,970	7,293	6,636	6,856	6,610	6,915	7,011	7,337	6,713	6,928	7,083	7,407	83,759
4320 Trash Removal	6,706	6,804	6,751	6,543	6,678	6,790	6,977	6,502	6,451	6,204	6,596	6,701	79,702
4330 Elevator Contract	1,559	1,472	1,412	1,415	1,554	1,417	1,550	1,433	1,517	1,498	1,413	1,409	17,650
4340 Fire & Life Safety	6,539	6,365	7,149	6,955	6,278	7,088	6,758	6,776	6,685	6,459	7,022	6,911	80,987
4350 Security	4,973	4,974	4,769	4,499	4,691	4,356	4,641	4,526	4,745	4,887	4,474	4,647	56,183
4360 Electricity - Common	4,806	4,998	5,276	5,022	4,686	4,822	4,687	4,829	5,011	5,334	4,740	4,912	59,123
4370 Gas - Common	5,206	5,150	4,845	5,055	5,141	4,686	4,899	4,795	5,064	5,076	4,860	4,825	59,601
4380 Water & Sewer	773	770	797	820	816	780	790	758	834	781	753	737	9,408
4390 Telephone/Internet	6,855	6,079	6,629	6,905	6,723	6,641	6,832	6,208	6,900	6,234	6,757	6,872	79,636
4400 Advertising	2,895	2,830	2,798	2,841	3,165	3,161	3,150	3,150	2,943	2,768	3,021	2,829	35,551
4410 Resident Events	1,002	1,048	984	999	1,080	1,092	978	1,040	992	1,038	1,037	1,045	12,335
4420 Office Supplies	2,822	3,071	3,135	2,835	2,960	3,100	3,075	2,931	2,828	2,784	3,058	2,803	35,401
4430 Legal & Professional	5,907	5,613	5,562	5,583	5,540	5,445	5,547	5,866	5,977	5,532	5,328	5,658	67,558
4440 Accounting & Audit	5,396	5,899	5,320	5,914	5,414	5,490	5,619	5,917	5,155	5,774	5,357	5,453	66,707
4450 Licenses & Permits	6,143	6,110	5,933	6,026	5,626	6,291	5,799	6,016	6,013	5,817	5,759	5,778	71,311
4460 Management Fee	869	878	867	824	882	858	867	787	809	858	880	817	10,196
4470 Property Insurance	7,161	7,245	6,793	6,781	6,795	7,438	6,942	7,317	6,768	6,991	7,157	7,633	85,021
4480 Real Estate Taxes	6,525	6,400	6,433	6,930	6,475	6,244	6,518	6,931	6,639	6,631	6,535	6,448	78,711
4490 Asset Management Fee	1,608	1,592	1,695	1,565	1,508	1,603	1,602	1,605	1,540	1,677	1,696	1,683	19,375
4500 Replacement Reserves	6,259	6,586	5,944	6,399	5,924	6,103	6,587	6,747	6,656	6,739	6,649	6,566	77,161
4510 Roof Repairs	2,609	2,390	2,430	2,630	2,443	2,375	2,687	2,590	2,432	2,452	2,423	2,671	30,131
4520 Parking Lot Repairs	1,099	995	1,062	1,111	996	1,013	1,086	1,043	1,101	1,116	1,005	1,069	12,695
4530 Signage	7,360	6,706	7,081	7,228	7,252	7,020	7,199	7,533	7,043	6,925	7,299	7,158	85,803
4540 Tenant Improvements	6,688	7,206	7,121	7,231	7,438	6,629	6,991	6,986	7,502	7,595	6,673	7,539	85,600
4550 Leasing Commissions	5,151	5,500	5,796	5,702	5,193	5,751	5,416	5,867	5,384	5,540	5,859	5,515	66,673
4000 Gross Potential Rent	67,059	61,303	60,777	65,557	63,666	62,080	63,291	59,907	58,792	63,545	64,779	60,837	751,594

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Valuation Discussion

Operating expenses totaled $433,000 or approximately 23.54 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 7 years and in-place rents average $35 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. The going-in capitalization rate of 7.66% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 5.21% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 8.20x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Weighted average lease term remaining is 5 years and in-place rents average $35 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 33 hours. Collections for the period were 92.3% of billed charges, with bad debt of 6.0% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.53% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $48,000, representing a 6.8% increase over the prior year.

Debt service coverage ratio was 6.24x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.75% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $328,000, representing a 10.0% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 11 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 22 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 95.1% of billed charges, with bad debt of 6.1% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 32 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

Operating Performance

The building features a renovated lobby, structured parking at a ratio of 39 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.93x on a trailing basis against a covenant minimum of 1.20x.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4520 Parking Lot Repairs	5,365	5,410	5,567	5,267	5,104	5,299	5,363	5,527	5,210	5,323	4,992	5,466	63,893
4530 Signage	7,404	6,923	7,720	7,596	7,406	7,505	7,519	6,914	7,586	7,259	7,497	7,051	88,383
4540 Tenant Improvements	2,670	2,971	2,773	3,015	2,776	2,769	2,860	2,667	3,022	2,774	2,871	2,662	33,830
4550 Leasing Commissions	4,186	4,170	3,959	4,072	3,850	3,783	3,748	4,028	4,083	3,845	3,895	3,689	47,308
4000 Gross Potential Rent	62,483	62,246	59,930	61,764	66,149	67,379	66,673	63,026	64,480	59,557	64,557	61,450	759,694
4010 Loss to Lease	29,111	31,854	31,310	29,200	29,374	30,586	29,490	30,318	31,256	27,931	28,276	30,372	359,079
4020 Vacancy Loss	32,425	31,738	28,499	29,760	31,784	29,707	29,586	30,279	30,454	29,159	31,067	28,487	362,945
4030 Concessions	42,882	41,086	41,825	45,219	44,085	43,045	41,073	43,291	42,246	41,114	39,459	41,290	506,617
4040 Bad Debt	15,604	17,435	15,512	15,774	17,559	17,129	15,704	17,305	17,677	15,435	15,744	17,334	198,212
4050 Late Fees	32,970	31,361	34,146	35,348	32,435	32,767	33,028	32,226	35,085	33,257	31,679	31,886	396,189
4060 Utility Reimbursements	11,530	11,694	11,837	11,362	10,461	10,429	11,348	10,551	11,276	11,773	11,445	11,585	135,292
4070 Parking Income	53,389	49,940	49,032	54,542	49,880	51,415	49,921	49,114	54,846	52,646	53,067	49,990	617,782
4080 Application Fees	14,511	13,891	14,121	14,920	15,018	15,649	15,248	15,470	14,286	15,290	15,568	15,244	179,215
4090 Pet Rent	35,655	37,299	37,407	36,777	39,822	36,537	39,624	36,073	39,442	36,366	39,513	36,461	450,976
4100 Laundry Income	41,387	43,371	41,635	39,383	38,809	38,769	42,349	40,489	43,843	39,257	40,549	39,423	489,265
4110 Cable/Internet Revenue	27,507	27,406	29,535	28,545	30,912	27,434	29,761	28,314	28,551	30,536	27,600	31,133	347,234
4120 CAM Reimbursements	8,956	8,932	8,423	8,391	9,094	8,238	8,668	8,211	8,844	9,380	8,299	8,443	103,880
4130 Tax Reimbursements	3,690	3,765	3,704	4,072	4,078	3,859	3,651	3,647	3,909	4,112	3,709	4,000	46,198
4140 Insurance Reimbursemen	26,085	28,307	26,874	28,843	28,640	25,322	28,697	26,628	28,479	28,812	28,481	28,067	333,235
4150 Percentage Rent	13,034	11,633	12,989	11,375	13,072	13,046	11,612	11,978	12,862	12,795	12,456	12,147	148,998
4160 Misc. Income	15,892	17,989	17,032	16,821	17,223	17,015	16,507	17,031	16,607	16,832	15,944	16,263	201,156
4170 Payroll - Management	2,923	2,959	2,651	2,752	2,941	2,802	2,750	2,706	2,727	2,727	2,652	2,732	33,322
4180 Payroll - Leasing	5,101	4,876	5,044	5,048	5,084	4,781	5,030	4,810	4,840	5,194	4,810	4,563	59,182
4190 Payroll - Maintenance	3,302	3,544	3,565	3,386	3,419	3,537	3,487	3,618	3,398	3,519	3,518	3,302	41,596
4200 Payroll Taxes & Benefits	741	740	814	756	738	824	844	783	794	738	800	791	9,362
4210 Repairs - Plumbing	6,656	6,132	6,259	6,368	6,137	6,183	6,621	6,421	6,404	6,722	6,891	6,783	77,578
4220 Repairs - HVAC	4,757	4,583	4,744	4,245	4,730	4,560	4,284	4,788	4,451	4,458	4,482	4,409	54,490
4230 Repairs - Electrical	4,694	4,437	4,479	4,606	4,795	4,657	4,378	4,665	4,489	4,999	4,938	4,580	55,717
4240 Repairs - Appliances	7,280	7,526	7,580	7,808	7,096	7,238	7,000	7,100	7,531	7,244	7,589	7,144	88,136
4250 Painting & Decorating	6,214	5,765	6,368	6,436	6,394	5,945	5,720	5,804	5,758	5,681	6,037	5,879	72,001
4260 Flooring	4,359	4,247	4,739	4,735	4,329	4,525	4,718	4,547	4,561	4,503	4,777	4,628	54,668
4270 Make-Ready / Turnover	6,049	5,546	6,110	5,919	5,885	6,050	5,499	5,822	5,588	5,347	5,941	5,561	69,317
4280 Landscaping Contract	5,851	5,808	6,188	5,900	6,376	5,998	6,331	5,882	6,373	6,387	6,117	6,201	73,413
4290 Snow Removal	6,470	6,070	6,204	6,455	6,720	6,501	5,993	6,838	6,279	6,079	6,216	6,385	76,210
4300 Janitorial	5,862	5,461	5,428	6,123	6,175	5,902	5,477	5,385	6,070	5,543	5,583	5,447	68,455
4310 Pest Control	773	725	684	700	706	734	719	692	697	721	759	732	8,642
4320 Trash Removal	3,845	4,143	4,195	4,283	3,757	4,191	4,256	4,294	4,100	4,252	4,143	4,259	49,719
4330 Elevator Contract	6,276	6,244	6,267	5,942	6,173	6,106	5,981	6,689	6,207	6,678	5,969	6,674	75,206
4340 Fire & Life Safety	915	880	898	830	927	826	875	863	827	920	848	879	10,488
4350 Security	5,977	6,051	6,027	5,747	6,055	6,268	5,888	6,120	6,318	5,782	5,865	5,602	71,701
4360 Electricity - Common	7,660	7,111	6,842	7,261	7,008	7,136	7,570	7,829	7,495	7,620	7,571	7,116	88,218
4370 Gas - Common	3,329	3,375	3,333	3,175	3,136	3,193	3,383	3,223	3,367	3,564	3,304	3,340	39,722
4380 Water & Sewer	4,854	4,854	4,883	5,055	4,793	4,922	4,744	5,262	4,674	4,675	5,098	5,283	59,097
4390 Telephone/Internet	6,311	6,139	5,735	6,008	6,447	6,242	6,469	6,398	6,424	6,231	5,787	6,329	74,520

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Operating expenses totaled $453,000 or approximately 37.94 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.34% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.42x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. The going-in capitalization rate of 7.07% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.01x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 12 years and in-place rents average $35 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 29 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Weighted average lease term remaining is 12 years and in-place rents average $35 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members.

Valuation Discussion

Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.38x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.61% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $368,000 or approximately 28.39 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period.

Operating expenses totaled $464,000 or approximately 37.96 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 8 years and in-place rents average $35 per square foot, full service gross. Effective gross income for the trailing period was $360,000, representing a 8.8% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 9 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 11 years and in-place rents average $35 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members.

Weighted average lease term remaining is 7 years and in-place rents average $35 per square foot, full service gross. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 20 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Collections for the period were 92.8% of billed charges, with bad debt of 5.8% of gross potential income.

Financial Analysis

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Summary and Notes

Financial Analysis

Effective gross income for the trailing period was $139,000, representing a 4.4% increase over the prior year. Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. Operating expenses totaled $390,000 or approximately 34.99 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.47% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 48 per 1,000 square feet, and a tenant lounge with fitness center.

Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 10 years and in-place rents average $35 per square foot, full service gross. Effective gross income for the trailing period was $291,000, representing a 12.1% increase over the prior year.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Weighted average lease term remaining is 12 years and in-place rents average $35 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 45 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Collections for the period were 95.6% of billed charges, with bad debt of 7.2% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Floor plates are efficient and column-spacing supports open and private-office layouts.

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